FY2026 Unrecorded Liabilities · Draft Findings for the CPA

Findings for the CPA from audit procedures; not an audit report and no opinion.

Client	HANGS Construction Services LLC
Period	Liabilities at June 30, 2026: payables, retainage payable, accruals and accrued interest
Engagement	Year-end audit procedures for the owners, the bonding company and the lender: a search for unrecorded liabilities, cut-off and accrual tests.
Prepared from	7 files: the trial balance, the payables and accruals, the contract schedule, the July to September payments, the invoices unpaid in October, the vendor invoices selected and the bank's loan statement
Prepared by	The F1 Finance Audit Machine, a demonstration. Fixed procedures on invented data; no AI model was used.
Status	Draft. Not reviewed, concluded or signed. Nothing was posted or sent to the client, its vendors, the bank or the bonding company.

Materiality, Proposed

Contract revenue for the year, the benchmark	$68,989,500.00
Materiality: 0.5% of revenue, rounded down	$340,000.00
Performance materiality: 75%	$255,000.00
Liabilities in the search	$7,729,882.65

What the Procedures Found

Procedure	What was found	Amount
Payments	Payments of July to September that settled June 30 payables, each matched to the aging	$5,691,076.15
Subcontractor	Sound Ridge's June pay application, received July 9, is in no June 30 liability (UL-01)	$186,400.00
Legal	Pellham & Quist's invoice for May and June legal work is unpaid and unaccrued (UL-02)	$23,480.00
Utilities	The utilities accrual left out June's temporary site power (UL-03)	$9,440.00
Interest	June's interest, debited by the bank on July 1, is not accrued (UL-04)	$28,665.00
Cut-off	Late-June invoices are in June; June bills received in July are booked in July	$247,985.00
Job cost	The Sound Ridge cost also moves Pier 9's cost-to-cost revenue (CROSS-01)	$204,835.16

Signature: none. This memo is not an audit report and expresses no opinion. The CPA reviews the workpapers, decides every open item and concludes. No adjustment has been posted.

DRAFT FOR THE CPA

Draft Findings Memo

Against Materiality

Known misstatements, added up (UL-01 to UL-04)	**$247,985.00**
Performance materiality	$255,000.00
Materiality	$340,000.00
Related revenue effect, settled with the job testing (CROSS-01)	$204,835.16

What was done

The machine agreed the payables and accruals to the trial balance and read every payment of July to September and every invoice unpaid in October in its scope for the period the service covered. It vouched what it found to the vendors' invoices, tested the invoices either side of June 30, set two accruals against the bills that followed and recomputed June's interest from the bank's statement.

What the records support

Every June 30 payable that was paid matched its line on the aging, late-June invoices are in June and July work is in July. The premium audit accrual covers its final bill. The misses share one cause: bills for June that arrive after the close are booked when they arrive.

What the CPA decides before concluding

1. Whether the client records UL-01 to UL-04, together close to performance materiality. 2. How UL-01 and the job schedule's CO-07 finding are settled together on Pier 9 (CROSS-01). 3. Whether the close needs an accrual step for late bills. 4. Materiality (MAT-01) and the representation letter (REP-01).

What the machine does not do

It does not give an audit opinion, sign anything, contact a vendor or post an adjustment. Concluding is the CPA's job; the machine stops here.

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

Materiality · Contract Revenue, the Benchmark

$68,989,500.00

Workbook: Planning!B15

Draft figure · the CPA reviews and concludes

Planning!B15 = $68,989,500.00

=B9

Planning!B9 = $68,989,500.00

=-('E01 Trial Balance'!D35+'E01 Trial Balance'!D36)

E01 Trial Balance!D35 = ($68,928,250.00)

E01 Trial Balance!D36 = ($61,250.00)

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D35, Trial Balance!D36

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Materiality · Materiality, Proposed

$340,000.00

Workbook: Planning!B16

Draft figure · the CPA reviews and concludes

Planning!B16 = $340,000.00

=ROUNDDOWN(B15*B29/10000,0)*10000

Planning!B15 = $68,989,500.00

=B9

Planning!B9 = $68,989,500.00

=-('E01 Trial Balance'!D35+'E01 Trial Balance'!D36)

E01 Trial Balance!D35 = ($68,928,250.00)

E01 Trial Balance!D36 = ($61,250.00)

Planning!B29 = 0.500%

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D35, Trial Balance!D36

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

Materiality · Performance Materiality

$255,000.00

Workbook: Planning!B17

Draft figure · the CPA reviews and concludes

Planning!B17 = $255,000.00

=ROUND(B16*0.75,2)

Planning!B16 = $340,000.00

=ROUNDDOWN(B15*B29/10000,0)*10000

Planning!B15 = $68,989,500.00

=B9

Planning!B9 = $68,989,500.00

=-('E01 Trial Balance'!D35+'E01 Trial Balance'!D36)

E01 Trial Balance!D35 = ($68,928,250.00)

E01 Trial Balance!D36 = ($61,250.00)

Planning!B29 = 0.500%

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D35, Trial Balance!D36

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Planning · Liabilities in the Search

$7,729,882.65

Workbook: Planning!B24

Draft figure · the CPA reviews and concludes

Planning!B24 = $7,729,882.65

=SUM(B20:B23)

Planning!B20 = $6,140,882.65

=-'E01 Trial Balance'!D17

E01 Trial Balance!D17 = ($6,140,882.65)

Planning!B21 = $1,302,600.00

=-'E01 Trial Balance'!D18

E01 Trial Balance!D18 = ($1,302,600.00)

Planning!B22 = $286,400.00

=-'E01 Trial Balance'!D28

E01 Trial Balance!D28 = ($286,400.00)

Planning!B23 = $0.00

=-'E01 Trial Balance'!D29

E01 Trial Balance!D29 = $0.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D17, Trial Balance!D18, Trial Balance!D28, Trial Balance!D29

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Payments · Paid June 30 Payables, Matched

$5,691,076.15

Workbook: Payments!B39

Draft figure · the CPA reviews and concludes

Payments!B39 = $5,691,076.15

=B10+B11+B12+B13+B14+B15+B17+B18+B19+B20+B21+B22+B23

Payments!B10 = $96,412.50

='E04 Payments'!E10

E04 Payments!E10 = $96,412.50

Payments!B11 = $412,300.00

='E04 Payments'!E11

E04 Payments!E11 = $412,300.00

Payments!B12 = $214,880.00

='E04 Payments'!E12

E04 Payments!E12 = $214,880.00

Payments!B13 = $184,600.00

='E04 Payments'!E13

E04 Payments!E13 = $184,600.00

Payments!B14 = $732,915.40

='E04 Payments'!E14

E04 Payments!E14 = $732,915.40

Payments!B15 = $1,286,450.00

='E04 Payments'!E15

E04 Payments!E15 = $1,286,450.00

Payments!B17 = $642,118.25

='E04 Payments'!E17

E04 Payments!E17 = $642,118.25

Payments!B18 = $538,920.00

='E04 Payments'!E18

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 After Year End/July to September 2026 payments.xlsx · Disbursements!E10, Disbursements!E11, Disbursements!E12, Disbursements!E13, Disbursements!E14, Disbursements!E15

Original documents are attached to this PDF. The workbook is attached too.

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

Payments · June Work Paid After the Year End, Missing $205,745.00

Workbook: Payments!B41

Draft figure · the CPA reviews and concludes

Payments!B41 = $205,745.00

=B8+B9+B27

Payments!B8 = $17,040.00

='E04 Payments'!E8

E04 Payments!E8 = $17,040.00

Payments!B9 = $11,625.00

='E04 Payments'!E9

E04 Payments!E9 = $11,625.00

Payments!B27 = $177,080.00

='E04 Payments'!E27

E04 Payments!E27 = $177,080.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 After Year End/July to September 2026 payments.xlsx · Disbursements!E8, Disbursements!E9, Disbursements!E27

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Payments · Sound Ridge June Pay Application (UL-01)

$186,400.00

Workbook: Payments!B45

Draft figure · the CPA reviews and concludes

Payments!B45 = $186,400.00

='E06 Vendor Invoices'!G9

E06 Vendor Invoices!G9 = $186,400.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Vendor Documents/Vendor invoices selected in the search.pdf · PDF pages 1 to 5; the vendor invoices the search selected: dates, service period and amounts

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Unpaid · Pellham & Quist Legal Invoice (UL-02)

$23,480.00

Workbook: Unpaid!B16

Draft figure · the CPA reviews and concludes

Unpaid!B16 = $23,480.00

=B15

Unpaid!B15 = $23,480.00

='E06 Vendor Invoices'!I10

E06 Vendor Invoices!I10 = $23,480.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Vendor Documents/Vendor invoices selected in the search.pdf · PDF pages 1 to 5; the vendor invoices the search selected: dates, service period and amounts

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Cut-Off · June Bills Received in July

$216,200.00

Workbook: Cut-Off!B26

Draft figure · the CPA reviews and concludes

Cut-Off!B26 = $216,200.00

=B20+B21+B22+B23

Cut-Off!B20 = $177,080.00

='E06 Vendor Invoices'!I9

E06 Vendor Invoices!I9 = $177,080.00

Cut-Off!B21 = $23,480.00

='E06 Vendor Invoices'!I10

E06 Vendor Invoices!I10 = $23,480.00

Cut-Off!B22 = $4,980.00

='E06 Vendor Invoices'!I11

E06 Vendor Invoices!I11 = $4,980.00

Cut-Off!B23 = $10,660.00

='E06 Vendor Invoices'!I12

E06 Vendor Invoices!I12 = $10,660.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Vendor Documents/Vendor invoices selected in the search.pdf · PDF pages 1 to 5; the vendor invoices the search selected: dates, service period and amounts

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Accruals · Utilities Accrual Short (UL-03)

$9,440.00

Workbook: Accruals!B12

Draft figure · the CPA reviews and concludes

Accruals!B12 = $9,440.00
=B11-B8

Accruals!B11 = $15,640.00
=B9+B10

Accruals!B9 = $4,980.00
='E04 Payments'!E16

E04 Payments!E16 = $4,980.00

Accruals!B10 = $10,660.00
='E04 Payments'!E24

E04 Payments!E24 = $10,660.00

Accruals!B8 = $6,200.00
='E02 Accrued Liabilities'!B12

E02 Accrued Liabilities!B12 = $6,200.00

Source files and cells (the full formula chain is in the workbook and on the review screen):
02 After Year End/July to September 2026 payments.xlsx · Disbursements!E16, Disbursements!E24
01 Client Accounting/June 30 2026 payables and accruals.xlsx · Accrued Liabilities!B12

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Interest · June Interest Not Accrued (UL-04)

$28,665.00

Workbook: Interest!B10

Draft figure · the CPA reviews and concludes

Interest!B10 = $28,665.00

=B8+B9

Interest!B8 = $17,040.00

='E07 Loan Statement'!C10

E07 Loan Statement!C10 = $17,040.00

Interest!B9 = $11,625.00

='E07 Loan Statement'!C20

E07 Loan Statement!C20 = $11,625.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

04 Debt/Cinderbrook Bank loan statement September 2026.pdf · PDF page 1; the bank's loan statement for June 30 to September 30, 2026, with the interest debited each month

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Adjustments · Known Misstatements, Added Up

$247,985.00

Workbook: Adjustments!B12

Draft figure · the CPA reviews and concludes

Adjustments!B12 = $247,985.00

=SUM(B8:B11)

Adjustments!B8 = $186,400.00

='Payments'!B45

Payments!B45 = $186,400.00

='E06 Vendor Invoices'!G9

E06 Vendor Invoices!G9 = $186,400.00

Adjustments!B9 = $23,480.00

='Unpaid'!B16

Unpaid!B16 = $23,480.00

=B15

Unpaid!B15 = $23,480.00

='E06 Vendor Invoices'!I10

E06 Vendor Invoices!I10 = $23,480.00

Adjustments!B10 = $9,440.00

='Accruals'!B12

Accruals!B12 = $9,440.00

=B11-B8

Accruals!B11 = $15,640.00

=B9+B10

Accruals!B9 = $4,980.00

='E04 Payments'!E16

E04 Payments!E16 = $4,980.00

Accruals!B10 = $10,660.00

='E04 Payments'!E24

E04 Payments!E24 = $10,660.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Vendor Documents/Vendor invoices selected in the search.pdf · PDF pages 1 to 5; the vendor invoices the search selected: dates, service period and amounts

02 After Year End/July to September 2026 payments.xlsx · Disbursements!E16, Disbursements!E24

01 Client Accounting/June 30 2026 payables and accruals.xlsx · Accrued Liabilities!B12

04 Debt/Cinderbrook Bank loan statement September 2026.pdf · PDF page 1; the bank's loan statement for June 30 to September 30, 2026, with the interest debited each month

Original documents are attached to this PDF. The workbook is attached too.

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

Adjustments · Pier 9 Revenue From UL-01 (CROSS-01)

$204,835.16

Workbook: Adjustments!B17

Draft figure · the CPA reviews and concludes

Adjustments!B17 = $204,835.16

=ROUND(B8*'E03 Job Schedule'!F8/'E03 Job Schedule'!G8,2)

Adjustments!B8 = $186,400.00

='Payments'!B45

Payments!B45 = $186,400.00

='E06 Vendor Invoices'!G9

E06 Vendor Invoices!G9 = $186,400.00

E03 Job Schedule!F8 = $48,400,000.00

E03 Job Schedule!G8 = $44,044,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Vendor Documents/Vendor invoices selected in the search.pdf · PDF pages 1 to 5; the vendor invoices the search selected: dates, service period and amounts

01 Client Accounting/June 30 2026 contract schedule.xlsx · Jun 30 2026!F8, Jun 30 2026!G8

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

WHAT STILL NEEDS A PERSON

UL-01 · $186,400.00: Sound Ridge Mechanical's pay application 7 (SRM-2604-07) is for HVAC work in place on Pier 9 from June 1 to 30, 2026, certified July 3, received July 9, 2026 and booked in July; it was paid on August 8. Proposed: debit job cost $186,400.00, credit accounts payable $177,080.00 and retainage payable $9,320.00. The machine never posts.

UL-02 · $23,480.00: Pellham & Quist LLP's invoice 2026-0712 of July 12, 2026, $23,480.00, is for legal work from May 4 to June 30, 2026: the Corliss lien and the subcontract form review. It was unpaid at October 15 and nothing was accrued. Proposed: debit general and administrative expense, credit accrued liabilities.

UL-03 · $9,440.00: The utilities accrual of $6,200.00 was May's yard and office bill and left out temporary site power. June's bills were $15,640.00. Proposed: debit job and office costs, credit accrued liabilities, $9,440.00. Under clearly trivial alone; listed because it repeats each month.

UL-04 · $28,665.00: June's interest, $17,040.00 on the term loan and $11,625.00 on the line, was debited by the bank on July 1 and recorded in July. Accrued interest at June 30 is nil. Proposed: debit interest expense, credit 2410 accrued interest, $28,665.00. The quarterly review found the same practice (interest recorded when paid).

CROSS-01 · $204,835.16: UL-01 adds $186,400.00 to Pier 9 Tech Center's cost at June 30. Revenue is cost-to-cost, so the same correction would add $204,835.16 of revenue and reduce the overbilling: a net $18,435.16 increase in income. The CPA settles it together with the job schedule testing's CO-07 finding before posting either.

MAT-01 · $340,000.00: Materiality is proposed at $340,000.00, 0.5% of the year's revenue, with performance materiality $255,000.00 and clearly trivial $17,000.00. The engagement partner sets the final amounts.

REP-01: No management representation letter has been obtained. It should state that all liabilities, including those for work done before June 30 and billed later, are recorded.

SIGN-01: These are draft workpapers and a draft findings memo for the engagement partner. They are not an audit report and give no opinion. Nothing has been signed, posted or sent.

This memo is a draft for the engagement partner. It is not an audit report and expresses no opinion; nothing has been signed, posted or sent.

DRAFT FOR THE CPA